

As this first story demonstrates, the mistake of “indulging in spending sprees” is hard to resist.

Squandering a Windfall

The tendency to spend money is a common denominator among people who have received extra money, regardless of how they obtained it. Whether the money was received through an inheritance, a signing bonus, or a sports contract, the end result is that you have more money than you are accustomed to possessing. This new wealth may feel more like a gift than money you have earned or to which you are entitled.

This perception affects how you ultimately handle your money. If you feel you did not earn the money, you will part with it more easily. Money slaved for is not so easily given up. Unfortunately, most money that comes quickly can go just as quickly.

A good friend of mine, Ken, has often said, “Everyone should blow at least one windfall.” He should know. In the two years after he received a fairly sizable inheritance while a senior in college, he bought and sold a vacation condo (on which he lost money), bought several thousand dollars worth of Christmas decorations on a spree, bought and sold a classic car which regularly needed repairs that his normal income could not afford, and systematically overspent the rest.

When the money ran out but the bills remained, Ken started acquiring debt to finance his expenses. At first, cash advances on his credit cards and loans were successful in eliminating the shortfall, but eventually Ken’s borrowing reached a limit. When his spending and borrowing spree ended, Ken found himself with about the same amount of debt, if not more, than before he received his inheritance.

Compounding the problem was the fact that he had acquired spending habits that were very hard to curtail! Ken

